

What Firms Say When They Say Nothing: Boilerplate in Climate Risk Reporting

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Fictional example paper — generated by Lectern for demonstration.

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Abstract

We measure textual similarity across climate risk disclosures in 6,400 annual reports and document that a large share of reported climate risk is boilerplate: near-identical language recycled across firms and years. Boilerplate intensity rises sharply in the first year a firm is required to disclose and falls only where an activist investor or a regulator has previously challenged the filing. Firms with high boilerplate intensity show no relationship between their stated risks and their subsequent physical loss events.

1. Motivation

Disclosure mandates assume that requiring a firm to describe a risk causes it to reveal something. That assumption fails if firms satisfy the requirement with language that carries no firm-specific content. We ask how much climate risk disclosure is of this kind.

We build a similarity measure over disclosure passages and validate it against hand-coded assessments by two trained readers. Agreement is high for the extremes and weaker in the middle of the distribution, which we discuss as a limitation.

2. Method

For each report we extract the climate risk section and compute pairwise cosine similarity against every other firm-year in the sample. A passage is classified as boilerplate when its maximum similarity to a passage filed by an unrelated firm exceeds a threshold calibrated on the hand-coded subsample.

We deliberately avoid interpreting the measure as a proxy for disclosure quality. It captures distinctiveness, and a distinctive disclosure can still be uninformative.

3. Findings and limitations

Roughly 44 per cent of climate risk passages in the first mandated year meet our boilerplate threshold, against 19 per cent by the fourth year. The decline is driven almost entirely by firms that faced external challenge; unchallenged firms show a flat profile.

Our design cannot separate genuine convergence on good practice from coordinated copying. Where several firms share an advisor, similar language may reflect a shared and defensible template rather than evasion.